

Dear Editor,

Thank you for the opportunity to review “Regulating Competing Payment Networks.” The paper develops a structural model of two-sided platform competition between payment networks, estimates it using the Durbin Amendment, grocery chain event studies, and payment surveys, and simulates counterfactual policies including fee caps, Durbin repeal, network mergers, and dual-routing mandates. The headline finding is that capping credit card merchant fees raises total welfare by \$27 billion annually.

I recommend **major revisions**. The paper addresses an important policy question with a well-constructed structural model that advances meaningfully beyond prior work. The contribution is sufficient for a top journal: quantifying the welfare costs of the competitive bottleneck in payment markets is genuinely valuable, and the combination of consumer multi-homing, merchant heterogeneity, and endogenous network pricing is novel in an estimated framework. The reduced-form evidence is well-executed and the model validation against the AmEx OptBlue episode is compelling.

However, I have three serious methodological concerns that must be addressed before publication. First, the welfare interpretation hinges on “credit aversion” being a welfare-relevant preference, but the paper does not adequately defend this normative assumption against alternatives (behavioral biases, measurement artifacts) under which the welfare sign could reverse. Second, the merchant type distribution is calibrated from a handful of grocery chain events and extrapolated economy-wide via a two-parameter Gamma assumption, with standard errors that do not reflect this model uncertainty. Third, consumer reward sensitivity is identified from a single contaminated natural experiment (the Durbin Amendment affected many margins beyond rewards), and this parameter drives the magnitude of all welfare results.

The paper should: (1) provide a rigorous defense of the credit aversion welfare interpretation with sensitivity to alternative normative frameworks; (2) demonstrate that welfare results are robust to systematic variation in the merchant type distribution and pass-through rate, not just binary comparisons; and (3) provide external calibration evidence for reward sensitivity beyond the Durbin Amendment, or show that welfare conclusions hold across a wide range of plausible values.

I attach two detailed referee reports: one focused on the contribution and literature positioning, and one focused on research design and methodology.

I hope these comments are useful.

Sincerely,

A handwritten signature in black ink, reading "Lulu Wang". The signature is fluid and cursive, with the first name "Lulu" and the last name "Wang" written in a connected style. The "W" in "Wang" has a large, sweeping loop that extends downwards and to the right.

Lulu Wang